

RESOLUTION NO. _____

ENTITLED: “A RESOLUTION SUPPORTING THE STATE OF WYOMING GOVERNOR’S PROPOSAL TO HAVE THE STATE LOAN AND INVESTMENT BOARD CONSIDER MODIFYING ITS RULES TO ADOPT AN ALLOCATION MODEL FOR DISTRIBUTION OF CORONAVIRUS AID, RELIEF, AND ECONOMIC SECURITY ACT (CARES ACT) FUNDING TO LOCAL GOVERNMENTS.”

WHEREAS, the State of Wyoming, through its State Loan and Investment Board, has received Coronavirus Aid, Relief, and Economic Security Act (CARES Act) funding from the Federal Government; and

WHEREAS, the application process for CARES Act grant funding for municipalities and counties has been a very time-consuming and confusing process; and

WHEREAS, many local governments are struggling to determine what information is required in order to obtain CARES Act funding from the State of Wyoming; and

WHEREAS, CARES Act funding must be obtained *and* spent by December 30, 2020 or it reverts to the Federal Government; and

WHEREAS, CARES Act funding is critical for local governments as revenues have been decimated by the economic impacts of the COVID-19 pandemic, compounded by the fact that local governments have assumed the “first responder” role for protecting Wyoming citizens from the ravages of this pandemic; and

WHEREAS, critical services of local governments have been curtailed, or eliminated, as a result of the economic impacts of the COVID-19 pandemic and CARES Act funds are essential to trying to maintain critical services; and

WHEREAS, massive investments in personal protective equipment, sanitizing, adapting to telework environments, and other necessary steps have been undertaken by local governments to respond to the pandemic and these investments were never contemplated in existing local government budgets; and

WHEREAS, the current “first-come, first-serve” process for obtaining CARES Act grant funding is fundamentally inequitable, particularly for those local governments struggling to understand the required application information; and

WHEREAS, switching to a formula-based allocation model for distribution of CARES Act funding eliminates the inequities of the current approach and provides a much more equitable and efficient approach; and

WHEREAS, the proposed allocation model has only one serious flaw in the view of this Governing Body and that is the 50/50 split between municipalities and counties; and

WHEREAS, the impacts of the COVID pandemic are felt most acutely in Wyoming’s municipalities as that is where most people reside, it is where nearly all citizens obtain local governmental services, and it is where citizens gather to interact with one another; and

WHEREAS, according to the Governor’s data, Wyoming’s population is 563,775. Of that total figure, 387,978 (69%) of Wyoming’s citizens reside in recognized municipalities; and

WHEREAS, a far more equitable approach to the allocation model would be to apportion the allocation based upon this population distribution. A distribution of 2/3 to municipalities and 1/3 to counties would accomplish this end; and

WHEREAS, an additional consideration is how the CARES Act funds are distributed. The current application process through the Office of State Lands, the Attorney General's office, and finally, the State Loan and Investment Board has proved to be too cumbersome; and

WHEREAS, an approach where the allocated CARES Act funding to each local government was able to be distributed to each upon execution of a "hold harmless" agreement whereby the local government agrees to be financially responsible for any CARES Act reimbursements which are later determined by the Federal Government to be inappropriate and need to be paid back allows a much more efficient distribution of the available funding; and

WHEREAS, upon receipt of its allocation, each local government would be required to deposit the funds into a governmental "special revenue fund," withdrawals from which could only occur upon provision of documentation satisfactory to the chief executive officer of the local government (or that officer's delegee) that the reimbursement meets the requirements of the CARES Act and the Wyoming legislature; and

WHEREAS, any funds not drawn upon by the local governmental entity by December 30, 2020 would then be remitted back to the State of Wyoming for refund to the federal government; and

WHEREAS, records are to be kept by the local governmental entity and are then subject to any future audit which may occur by the State of Wyoming or the Federal Government.

NOW, THEREFORE, BE IT RESOLVED BY THE GOVERNING BODY OF THE CITY OF CHEYENNE, WYOMING, that the Governing Body of the City of Cheyenne supports and recommends that the Governor's proposed allocation model for distribution of CARES Act funding to local governments be adopted by the State Loan and Investment Board with the caveats and changes referenced in this resolution.

PRESENTED, READ, AND ADOPTED this ____ day of _____, 2020.

Marian J. Orr, Mayor

(SEAL)

ATTEST:

Kristina F. Jones, City Clerk